

Regulatory Baseline Report

Hong Kong Reviewed Core

Baseline ID	BL-86313E588458F5EB9902
Assessment date	2026-09-09
Pack	hong-kong-financial-ai / 2026.12.4
Pack digest	9b1c82791be15efa4ffa6d48eda744a0f132f3d0945588227707379f184e3e0f
Status	COMPLETE_WITHIN_REVIEWED_SCOPE

Reviewed scope

Evidence-sealed recovered Hong Kong financial-AI core covering admitted HKMA AI principles, consumer-protection and alternative-data modules; SFC and PCPD/PDPO reviewed core; and IA GL14, GL20/CRAF and GL21. HKMA AI-cyber 2026 and AI-enabled AML/CFT lineage remain explicitly quarantined pending exact passage and classification closure. MPFA remains deferred.

Important notice

- This report is a deterministic regulatory mapping baseline generated from the canonical baseline JSON.
- PEARL-authored summaries are interpretation aids and are not represented as verbatim regulator text.
- This report does not constitute legal advice, a statutory legal opinion, external audit certification, or regulatory pre-approval.

Executive Summary

20 applicable controls | 14 triggered rules | 29 not applicable controls

Baseline identity	86313e588458f5eb99026dbc45f6375554bb35f6fcbafee4fc79a890a4348de9
Runtime	2026.12.4-phase2 / 2026.12.4-compiler-v1
Pack digest	9b1c82791be15efa4ffa6d48eda744a0f132f3d0945588227707379f184e3e0f
Preflight fingerprint	f412f64b5eac4f45a4ac125c5e6af8be96a2019c50125dcca12dbc6477f79ce0

Classification breakdown

RISK-BASED-REQUIRED	20
---------------------	----

Domain breakdown

DATA_PRIVACY	1
GOVERNANCE	5
MODEL_RISK	4
OPERATIONAL_RESILIENCE	2
SECURITY	7
THIRD_PARTY_RISK	1

Assessment facts

Source permissions	SFC:LICENSED_ACTIVITY:TYPE_4
Resolved permissions	SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION
Use cases	INVESTMENT_RESEARCH
Capabilities	GENERATIVE_AI
customerFacing	false
handlesConfidentialInformation	true
hasHumanInLoop	true
hasMaterialIndividualImpact	false
isAutonomous	false
isCrossBorder	false
modelType	GENERATIVE_AI
processesPersonalData	false
supportsRegulatedActivity	true
usesExternalProvider	true

Applicable Controls

The controls below are taken directly from the canonical baseline. The PDF renderer does not re-evaluate rule applicability or classification.

GOV-001 - Senior Management AI Accountability

GOVERNANCE | RISK-BASED-REQUIRED

Control objective

Establish named senior-management accountability for the governance, risk and regulatory outcomes of the AI system.

Why this applies / regulatory basis

SFC / SFC-AI-CYBER-GOV-001

Mandate SFC AI-Enabled Cyber Preparedness and Accountability

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations should assess preparedness, address vulnerabilities and ensure senior management and the MIC-IT oversee prompt cybersecurity enhancement.

Classification basis The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraph 3 - preparedness and senior-management accountability

Senior management and the MIC-IT are accountable for assessing and improving preparedness for AI-enabled cyberattacks.

Locator ID SFC-AI-CYBER-26EC32-LOC-3

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 a566ee641a11950b0c0e81825d5d12c98a4d62b1b7d98cea012c92e068fcdeba

Official source <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32>

SFC / SFC-GENAI-GOV-001

Mandate SFC AI Language Model Governance

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations must apply senior-management governance, competent cross-functional oversight and lifecycle controls to AI language models used in regulated activities.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 6-8

The circular applies to AI language models used in relation to regulated activities and permits risk-proportionate implementation.

Locator ID SFC-GENAI-24EC55-LOC-C5D9FFB2DE

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 bc56628d3fa64b30811b696ae34bc747db284aa70e513e3a632047df108ed282

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 9-12

Senior management remains responsible for effective lifecycle policies, controls, governance and competent oversight.

Locator ID	SFC-GENAI-24EC55-LOC-9F2174F4FD
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	e5db8182440c5d37e7a0d6a3f1576b7c6444f382a9bcc2945e04e5a9793d5dd
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55

PEARL control implementation

- 1. Assign an accountable senior executive for the AI system and document the scope of responsibility.
- 2. Approve lifecycle policies covering deployment, material change, monitoring, incident response and retirement.
- 3. Receive periodic reporting on material risks, control exceptions and remediation decisions.

Expected evidence Accountability appointment; approved AI lifecycle policy; governance meeting records; periodic risk and exception reports.

GOV-002 - Cross-Functional AI Governance Structure

GOVERNANCE | RISK-BASED-REQUIRED

Control objective

Maintain a governance structure with sufficient authority and relevant business, risk, compliance, privacy and technology competence.

Why this applies / regulatory basis

SFC / SFC-GENAI-GOV-001

Mandate	SFC AI Language Model Governance
Classification	RISK-BASED-REQUIRED
Interpretation basis	DIRECT

Licensed corporations must apply senior-management governance, competent cross-functional oversight and lifecycle controls to AI language models used in regulated activities.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 6-8
The circular applies to AI language models used in relation to regulated activities and permits risk-proportionate implementation.

Locator ID	SFC-GENAI-24EC55-LOC-C5D9FFB2DE
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	bc56628d3fa64b30811b696ae34bc747db284aa70e513e3a632047df108ed282
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55

- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 9-12
Senior management remains responsible for effective lifecycle policies, controls, governance and competent oversight.

Locator ID	SFC-GENAI-24EC55-LOC-9F2174F4FD
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	e5db8182440c5d37e7a0d6a3f1576b7c6444f382a9bcc2945e04e5a9793d5dd
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55

PEARL control implementation

- 1. Define the governance body, decision rights, escalation thresholds and quorum for material AI decisions.
- 2. Assign competent representatives from relevant control and business functions.
- 3. Record approvals, challenges, exceptions and follow-up actions.

Expected evidence	Governance charter; membership and competence record; decision matrix; meeting minutes; exception register.
--------------------------	---

GOV-003 - Lifecycle AI Risk Assessment

GOVERNANCE | RISK-BASED-REQUIRED

Control objective

Identify, assess and document AI risks before use and following material changes, with control intensity proportionate to impact.

Why this applies / regulatory basis

SFC / SFC-GENAI-GOV-001

Mandate SFC AI Language Model Governance

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations must apply senior-management governance, competent cross-functional oversight and lifecycle controls to AI language models used in regulated activities.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 6-8
The circular applies to AI language models used in relation to regulated activities and permits risk-proportionate implementation.

Locator ID SFC-GENAI-24EC55-LOC-C5D9FFB2DE

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 bc56628d3fa64b30811b696ae34bc747db284aa70e513e3a632047df108ed282

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 9-12
Senior management remains responsible for effective lifecycle policies, controls, governance and competent oversight.

Locator ID SFC-GENAI-24EC55-LOC-9F2174F4FD

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 e5db8182440c5d37e7a0d6a3f1576b7c6444f382a9bccc2945e04e5a9793d5dd

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Define the system purpose, users, affected individuals, prohibited uses and material harm scenarios.
- 2. Assess model, data, privacy, conduct, cybersecurity, third-party and operational resilience risks.
- 3. Approve mitigations and re-assess after material functional, data, model, provider or regulatory change.

Expected evidence Completed AI risk assessment; approved use-case boundaries; risk treatment plan; material-change reassessment records.

GOV-004 - Role-Based AI Competence and Training

GOVERNANCE | RISK-BASED-REQUIRED

Control objective

Ensure personnel governing, developing, validating, operating or reviewing AI have role-appropriate competence and training.

Why this applies / regulatory basis**SFC / SFC-GENAI-GOV-001**

Mandate SFC AI Language Model Governance

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations must apply senior-management governance, competent cross-functional oversight and lifecycle controls to AI language models used in regulated activities.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 6-8
The circular applies to AI language models used in relation to regulated activities and permits risk-proportionate implementation.

Locator ID SFC-GENAI-24EC55-LOC-C5D9FFB2DE

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 bc56628d3fa64b30811b696ae34bc747db284aa70e513e3a632047df108ed282

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 9-12
Senior management remains responsible for effective lifecycle policies, controls, governance and competent oversight.

Locator ID SFC-GENAI-24EC55-LOC-9F2174F4FD

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 e5db8182440c5d37e7a0d6a3f1576b7c6444f382a9bcc2945e04e5a9793d5dd

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Define minimum competence requirements for each AI lifecycle role.
- 2. Provide training on system limitations, privacy, security, model risk, escalation and human-review duties.
- 3. Maintain training completion and periodic competence review records.

Expected evidence Role-to-competence matrix; training materials; completion records; reviewer competency assessments.

GOV-005 - High-Risk Regulatory Notification Assessment**GOVERNANCE | RISK-BASED-REQUIRED****Control objective**

Assess whether a high-risk AI deployment constitutes a significant business or service change requiring regulatory notification or early engagement.

Why this applies / regulatory basis**SFC / SFC-GENAI-NOTIFICATION-001**

Mandate SFC High-Risk Change Notification Assessment

Classification RISK-BASED-REQUIRED

Interpretation basis SOURCE_ANCHORED_INTERPRETATION

A licensed corporation planning a high-risk AI language model use case must assess significant-change notification obligations and early SFC engagement.

Classification basis	The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.
- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION - USE_CASE_ANY: observed INVESTMENT_RESEARCH; required any of INVESTMENT_ADVICE, INVESTMENT_RESEARCH - FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI) - FACT_EQUALS: supportsRegulatedActivity = true (required true) - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraph 30 The circular reminds firms of significant-change notification requirements and encourages early discussion.	
Locator ID	SFC-GENAI-24EC55-LOC-0270FF4711
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	84d3915e7188da1adf0ba8d0a5e808e499bfe03eb2ebf5374b449c8db9533e4d
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55
PEARL control implementation	- 1. Document the proposed regulated use case, client impact and change to the nature of business or service. - 2. Obtain compliance and legal assessment of notification and engagement requirements. - 3. Retain notification submissions, regulator correspondence or a documented non-notification rationale.
Expected evidence	Regulatory notification assessment; legal/compliance sign-off; submission receipt or documented rationale; regulator correspondence.

MOD-001 - Pre-Use and Material-Change Model Validation

MODEL_RISK | RISK-BASED-REQUIRED

Control objective

Validate the AI model and integrated solution before use and after material changes, with appropriate functional segregation.

Why this applies / regulatory basis

SFC / SFC-GENAI-MRM-001

Mandate SFC AI Model Risk Management

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

AI language models used in regulated activities must be validated, tested end to end, monitored after deployment and supported by documented results.

Classification basis	The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.
- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION - FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI) - FACT_EQUALS: supportsRegulatedActivity = true (required true) - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraph 13 The model risk framework covers validation, end-to-end testing, ongoing monitoring and documented results.	
Locator ID	SFC-GENAI-24EC55-LOC-BD788CE64B
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	ab07f9625eeb2c71a9f4e35ecdcbcd450ef15668f1da6c4645c57d36a6133cf
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55
PEARL control implementation	- 1. Define validation scope, acceptance criteria, limitations and reviewer independence or segregation.

- 2. Test intended performance, failure modes, cybersecurity and data-risk controls before approval.
- 3. Repeat validation after material changes to design, assumptions, data, calculations, tools or output.

Expected evidence

Validation plan; test evidence; reviewer independence record; approval decision; material-change validation history.

MOD-002 - End-to-End Testing and Continuous Performance Monitoring

MODEL_RISK | RISK-BASED-REQUIRED

Control objective

Test the full input-to-output solution and monitor ongoing performance, drift, robustness and control effectiveness.

Why this applies / regulatory basis**SFC / SFC-GENAI-HIGH-RISK-001**

Mandate SFC High-Risk GenAI Safeguards

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

GenAI used for investment advice, investment recommendations or investment research requires enhanced factual-accuracy, human-review, robustness and monitoring safeguards.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- USE_CASE_ANY: observed INVESTMENT_RESEARCH; required any of INVESTMENT_ADVICE, INVESTMENT_RESEARCH
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraph 16
Firms remain accountable for output and should apply proportionate hallucination-risk controls.

Locator ID SFC-GENAI-24EC55-LOC-1C22F68A4A

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 d75e24a93f8db88c354bd5aa424363673fa4966f069f269e8ad8ee6a68cea43a

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 18-19
High-risk use cases require enhanced validation, human review, robustness testing and continued monitoring.

Locator ID SFC-GENAI-24EC55-LOC-FF5A947210

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 51e7b2aa90b67969e28d10347e25d68f2c54453d857f813dda71c9adda368f3b

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

SFC / SFC-GENAI-MRM-001

Mandate SFC AI Model Risk Management

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

AI language models used in regulated activities must be validated, tested end to end, monitored after deployment and supported by documented results.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of

SFC:LICENSED_CORPORATION	
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)	
- FACT_EQUALS: supportsRegulatedActivity = true (required true)	
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraph 13	
The model risk framework covers validation, end-to-end testing, ongoing monitoring and documented results.	
Locator ID	SFC-GENAI-24EC55-LOC-BD788CE64B
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	ab07f9625eeb2c71a9f4e35ecdcbcd450ef15668f1da6c4645c57d36a6133cf
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55
PEARL control implementation	
1. Test the complete solution, including retrieval, filtering, prompt management and connected components where used. 2. Define production metrics, thresholds, review frequency and escalation actions proportionate to risk. 3. Monitor performance and drift, investigate breaches and document corrective action.	
Expected evidence	End-to-end test report; production monitoring specification; drift and performance reports; alert and remediation records.

MOD-003 - High-Risk GenAI Factual Accuracy Controls

MODEL_RISK | RISK-BASED-REQUIRED

Control objective

Reduce hallucination and factual inaccuracy to a level appropriate for high-risk client or investor use.

Why this applies / regulatory basis

SFC / SFC-GENAI-HIGH-RISK-001

Mandate SFC High-Risk GenAI Safeguards

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

GenAI used for investment advice, investment recommendations or investment research requires enhanced factual-accuracy, human-review, robustness and monitoring safeguards.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
 - USE_CASE_ANY: observed INVESTMENT_RESEARCH; required any of INVESTMENT_ADVICE, INVESTMENT_RESEARCH
 - FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
 - FACT_EQUALS: supportsRegulatedActivity = true (required true)
 - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraph 16
- Firms remain accountable for output and should apply proportionate hallucination-risk controls.

Locator ID	SFC-GENAI-24EC55-LOC-1C22F68A4A
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	d75e24a93f8db88c354bd5aa424363673fa4966f069f269e8ad8ee6a68cea43a
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 18-19	
High-risk use cases require enhanced validation, human review, robustness testing and continued monitoring.	
Locator ID	SFC-GENAI-24EC55-LOC-FF5A947210
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	51e7b2aa90b67969e28d10347e25d68f2c54453d857f813dda71c9adda368f3b
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55

PEARL control implementation

- 1. Define factual accuracy criteria and authoritative sources for the use case.
- 2. Implement proportionate grounding, source verification, output checks or other accuracy controls.
- 3. Test accuracy and prompt robustness regularly and record residual limitations.

Expected evidence Accuracy control design; authoritative-source register; factual accuracy test results; prompt-robustness results; limitation disclosures.

MOD-004 - Human Review of High-Risk AI Decisions and Outputs**MODEL_RISK | RISK-BASED-REQUIRED****Control objective**

Retain effective human review over AI decisions or outputs that may materially affect clients, investors or individuals.

Why this applies / regulatory basis**SFC / SFC-GENAI-HIGH-RISK-001**

Mandate SFC High-Risk GenAI Safeguards

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

GenAI used for investment advice, investment recommendations or investment research requires enhanced factual-accuracy, human-review, robustness and monitoring safeguards.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- USE_CASE_ANY: observed INVESTMENT_RESEARCH; required any of INVESTMENT_ADVICE, INVESTMENT_RESEARCH
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraph 16
Firms remain accountable for output and should apply proportionate hallucination-risk controls.

Locator ID SFC-GENAI-24EC55-LOC-1C22F68A4A

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 d75e24a93f8db88c354bd5aa424363673fa4966f069f269e8ad8ee6a68cea43a

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 18-19
High-risk use cases require enhanced validation, human review, robustness testing and continued monitoring.

Locator ID SFC-GENAI-24EC55-LOC-FF5A947210

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 51e7b2aa90b67969e28d10347e25d68f2c54453d857f813dda71c9adda368f3b

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Define which decisions or outputs require human review before release or execution.
- 2. Give reviewers sufficient information, competence, time and authority to challenge or override the AI.
- 3. Record reviewer identity, decision, rationale, escalation and override outcomes.

Expected evidence Human-review standard; workflow configuration; reviewer appointments; approval and override logs; escalation records.

DATA-002 - Sensitive and Confidential AI Input Controls

DATA_PRIVACY | RISK-BASED-REQUIRED**Control objective**

Prevent inappropriate entry, exposure or reuse of personal, client-confidential or business-confidential information in AI systems.

Why this applies / regulatory basis**SFC / SFC-GENAI-CONFIDENTIAL-001**

Mandate SFC Confidential Information Controls

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Where client-confidential or business-confidential information is handled by an AI language model, controls must remain effective throughout the model lifecycle.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- FACT_EQUALS: handlesConfidentialInformation = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 22-25
Controls over confidential client and business information should remain effective across the lifecycle.

Locator ID SFC-GENAI-24EC55-LOC-1651554308

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 98aede6a18b26ec034952f5a8659f5bd4cc99168a12ea91432b00b54323a00d9

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Define permitted and prohibited input categories for each user group and connected component.
- 2. Apply proportionate preventive and detective controls to prompts, uploads, training data, retrieval sources and browser extensions.
- 3. Test controls and investigate attempted or actual sensitive-information exposure.

Expected evidence Acceptable-input standard; technical control configuration; data-loss tests; exception and incident records; user guidance.

TECH-001 - AI Cybersecurity Risk Management**SECURITY | RISK-BASED-REQUIRED****Control objective**

Maintain risk-proportionate controls for AI-specific and conventional cybersecurity threats throughout the system lifecycle.

Why this applies / regulatory basis**SFC / SFC-GENAI-CYBER-001**

Mandate SFC AI Cybersecurity and Adversarial Resilience

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

AI language models used in regulated activities require effective cyber controls, adversarial testing and the ability to suspend use where appropriate.

Classification basis	The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.
- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION - FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI) - FACT_EQUALS: supportsRegulatedActivity = true (required true) - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 20-21 Cyber controls should address emerging and adversarial threats and support suspension where appropriate.	
Locator ID	SFC-GENAI-24EC55-LOC-E11AAB7125
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	41be2edc12c8d7edf61c8909466e31bfc7c188610f51133e581c0b6a5d15f71d
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55
PEARL control implementation	- 1. Maintain an AI threat model covering model, prompt, data, tool, API, identity and infrastructure attack paths. - 2. Implement layered preventive, detective and response controls proportionate to business and data impact. - 3. Review emerging threats, test control effectiveness and remediate material weaknesses.
Expected evidence	AI threat model; security architecture; control configuration; security test results; vulnerability and remediation register.

TECH-002 - Periodic Adversarial AI Testing

SECURITY | RISK-BASED-REQUIRED

Control objective

Test the AI solution for adversarial prompts, data leakage, model manipulation and unsafe or misaligned outputs.

Why this applies / regulatory basis

SFC / SFC-GENAI-CYBER-001

Mandate SFC AI Cybersecurity and Adversarial Resilience

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

AI language models used in regulated activities require effective cyber controls, adversarial testing and the ability to suspend use where appropriate.

Classification basis	The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.
- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION - FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI) - FACT_EQUALS: supportsRegulatedActivity = true (required true) - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 20-21 Cyber controls should address emerging and adversarial threats and support suspension where appropriate.	
Locator ID	SFC-GENAI-24EC55-LOC-E11AAB7125
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	41be2edc12c8d7edf61c8909466e31bfc7c188610f51133e581c0b6a5d15f71d
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55

PEARL control implementation

- 1. Define adversarial scenarios relevant to the model, data, tools and intended use.
- 2. Conduct testing before material deployment and periodically thereafter based on risk.

- 3. Prioritise, remediate and retest material findings.

Expected evidence

Adversarial test plan; test corpus and results; finding register; remediation and retest evidence.

TECH-005 - AI Traceability and Audit Logging

SECURITY | RISK-BASED-REQUIRED

Control objective

Maintain proportionate records that reconstruct material AI inputs, configurations, actions, reviews and outputs without excessive personal data retention.

Why this applies / regulatory basis**SFC / SFC-GENAI-CONFIDENTIAL-001****Mandate**

SFC Confidential Information Controls

Classification

RISK-BASED-REQUIRED

Interpretation basis

DIRECT

Where client-confidential or business-confidential information is handled by an AI language model, controls must remain effective throughout the model lifecycle.

Classification basis

The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- FACT_EQUALS: handlesConfidentialInformation = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 22-25
Controls over confidential client and business information should remain effective across the lifecycle.

Locator ID

SFC-GENAI-24EC55-LOC-1651554308

Source assurance

INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256

98aede6a18b26ec034952f5a8659f5bd4cc99168a12ea91432b00b54323a00d9

Official source

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Define traceability events required for the use case, including model and configuration version, material input, output, tool action and human review.
- 2. Protect log integrity and access while applying data minimisation and retention requirements.
- 3. Test retrieval and reconstruction of representative material events.

Expected evidence

Logging specification; sample audit records; integrity and access controls; retention rules; trace reconstruction test.

TECH-009 - Technology Asset Inventory and Exposure Prioritisation

SECURITY | RISK-BASED-REQUIRED

Control objective

Maintain a current technology-asset inventory that supports rapid prioritisation of exposed, critical and third-party-dependent components.

Why this applies / regulatory basis**SFC / SFC-AI-CYBER-ASSET-001****Mandate**

SFC Technology Asset Inventory and Prioritisation

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations should keep a current technology-asset inventory and prioritise exposed, critical and third-party-dependent components.

Classification basis The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraphs 5-7 - robust controls, asset inventory and framework review

A current inventory and risk classification should support rapid protection and remediation of the most exposed and critical assets.

Locator ID SFC-AI-CYBER-26EC32-LOC-5-7

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 dcc3e0ad0cff24f7f827ec23680a70158906a0174c0aba4ff43dde2935005000

Official source <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32>

PEARL control implementation

- 1. Inventory hardware, software, networks, databases, cloud services and material dependencies.
- 2. Identify externally exposed, business-critical and third-party-dependent components.
- 3. Update the inventory sufficiently quickly to support same-day vulnerability, containment and threat-intelligence decisions.

Expected evidence Technology asset inventory; criticality and exposure classification; dependency map; update controls; vulnerability-prioritisation records.

TECH-010 - Accelerated Patch and Vulnerability Management

SECURITY | RISK-BASED-REQUIRED

Control objective

Reduce the time between vulnerability disclosure and remediation for business-critical technology.

Why this applies / regulatory basis

SFC / SFC-AI-CYBER-PATCH-001

Mandate SFC Accelerated Patching and Vulnerability Management

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations should expedite patching and vulnerability management, especially for urgent fixes affecting business-critical components.

Classification basis The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraph 9 - accelerated patch and vulnerability management

Patching and vulnerability management should support urgent, well-resourced remediation outside routine cycles.

Locator ID SFC-AI-CYBER-26EC32-LOC-9

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 9246c4fe543cecc9ec9b97492ca69586a2348427700706c448c2d997ac97aad9

Official source <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32>

PEARL control implementation

- 1. Define risk-based patching and vulnerability-management service levels.
- 2. Establish an urgent path for critical fixes outside routine patching cycles.
- 3. Allocate capacity for surges in vulnerabilities and verify remediation effectiveness.

Expected evidence

Patch and vulnerability policy; critical-fix workflow; service-level metrics; backlog and exception records; remediation verification.

TECH-011 - Least-Privilege, Segmentation and High-Impact Action Controls**SECURITY | RISK-BASED-REQUIRED****Control objective**

Limit the ability of compromised identities, devices or untrusted inputs to trigger privileged or high-impact actions.

Why this applies / regulatory basis**SFC / SFC-AI-CYBER-ACCESS-001****Mandate**

SFC Least Privilege and High-Impact Action Controls

Classification

RISK-BASED-REQUIRED

Interpretation basis

DIRECT

Licensed corporations should reduce attack paths through least privilege, segmentation, adversarial-input controls and maker-checker approval for high-impact actions.

Classification basis

The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraphs 10-11 - least privilege, segmentation, adversarial input and maker-checker controls

Access, segmentation, input-trust and dual-control measures should limit compromised or manipulated high-impact actions.

Locator ID

SFC-AI-CYBER-26EC32-LOC-10-11

Source assurance

INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256

59fc0707b7ed77e20d53d7e76e4459ac9026af013a8d25c60653d6a3f2f5aeee

Official source

<https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32>

PEARL control implementation

- 1. Apply least privilege to business-critical systems, connectors, tools and privileged accounts.
- 2. Use network segmentation or equivalent controls to limit lateral movement.
- 3. Treat untrusted inputs as potentially adversarial and require maker-checker approval for high-impact actions.

Expected evidence

Access-control matrix; privileged-account controls; segmentation architecture; input-trust boundary design; maker-checker workflow and test evidence.

TECH-012 - Threat Detection, Monitoring and Intelligence**SECURITY | RISK-BASED-REQUIRED****Control objective**

Detect anomalous system and client activity and incorporate current threat intelligence into monitoring and response.

Why this applies / regulatory basis**SFC / SFC-AI-CYBER-DETECT-001****Mandate**

SFC Threat Detection and Intelligence

Classification

RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations should strengthen anomaly monitoring, threat detection and threat-intelligence capabilities for the evolving AI-enabled threat environment.

Classification basis The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
 - FACT_EQUALS: supportsRegulatedActivity = true (required true)
 - Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraph 12 - threat detection, anomaly monitoring and intelligence
- Detection, anomaly monitoring and threat intelligence should evolve with the threat landscape.

Locator ID SFC-AI-CYBER-26EC32-LOC-12

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 3cd1ba6640b3e3f4ec20184d73b84a809c394508a1b7b90e4c96ac7ab6de5a6a

Official source <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32>

PEARL control implementation

- 1. Define monitored system, identity, transaction and client-activity signals relevant to the threat model.
- 2. Maintain alert logic and investigation procedures proportionate to emerging threats.
- 3. Integrate threat intelligence into prioritisation, detection tuning and incident response.

Expected evidence Detection strategy; monitored-signal inventory; alert rules; investigation records; threat-intelligence feeds and tuning evidence.

TECH-004 - AI Suspension, Fallback and Operational Resilience**OPERATIONAL_RESILIENCE | RISK-BASED-REQUIRED****Control objective**

Enable safe suspension and proportionate fallback when AI service, output or controls become unreliable or compromised.

Why this applies / regulatory basis**SFC / SFC-GENAI-CYBER-001**

Mandate SFC AI Cybersecurity and Adversarial Resilience

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

AI language models used in regulated activities require effective cyber controls, adversarial testing and the ability to suspend use where appropriate.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
 - FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
 - FACT_EQUALS: supportsRegulatedActivity = true (required true)
 - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 20-21
- Cyber controls should address emerging and adversarial threats and support suspension where appropriate.

Locator ID SFC-GENAI-24EC55-LOC-E11AAB7125

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 41be2edc12c8d7edf61c8909466e31bfc7c188610f51133e581c0b6a5d15f71d

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

SFC / SFC-GENAI-TPRM-001

Mandate SFC AI Third-Party Provider Risk

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Use of an external AI provider requires due diligence, ongoing monitoring, clear responsibility allocation, supply-chain visibility and contingency planning.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- FACT_EQUALS: usesExternalProvider = true (required true)
- Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 26-29
External providers require due diligence, responsibility allocation, supply-chain assessment and resilience planning.

Locator ID SFC-GENAI-24EC55-LOC-2C4055D3FE

Source assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 390547919db9b85b7e0da0cbe7bb65e5931449784b94ce1a230fcb61c8a25dfc

Official source <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Define suspension triggers for security incidents, control failure, provider outage and unacceptable output.
- 2. Implement authorised suspension and fallback procedures that preserve critical services and records.
- 3. Test contingency arrangements and resolve lessons from exercises or incidents.

Expected evidence Suspension criteria; incident and continuity procedure; fallback design; exercise results; incident and remediation records.

TECH-013 - AI-Enabled Cyber Incident Containment, Recovery and Testing**OPERATIONAL_RESILIENCE | RISK-BASED-REQUIRED****Control objective**

Prepare for fast-moving AI-enabled attacks through rapid containment, tested recovery, available backups and regulatory escalation.

Why this applies / regulatory basis**SFC / SFC-AI-CYBER-IR-001**

Mandate SFC AI-Enabled Cyber Incident Response and Recovery

Classification RISK-BASED-REQUIRED

Interpretation basis DIRECT

Licensed corporations should maintain rapid containment, tested response and recovery, available backups and applicable regulatory notification processes.

Classification basis The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraphs 14-18 - incident response, containment, testing, backup and notification
Response and recovery should support rapid containment, exercises, available backups and prompt notification of material incidents

where required.

Locator ID	SFC-AI-CYBER-26EC32-LOC-14-18
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	eda8c13714c6b71b1e8578c03e8d6d77441814e519a9dc9bdc795590bcf09b4
Official source	https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32

PEARL control implementation

- 1. Maintain response and contingency procedures for unauthorised access, data leakage and major service disruption.
- 2. Pre-plan rapid isolation, blocking, access restriction, escalation and reporting actions.
- 3. Exercise the procedures, maintain available backups and address lessons and regulatory-notification duties.

Expected evidence Cyber incident response and contingency plans; containment playbooks; exercise and simulation records; backup and restore tests; incident and notification records.

TECH-003 - AI Third-Party Due Diligence and Supply-Chain Governance

THIRD_PARTY_RISK | RISK-BASED-REQUIRED

Control objective

Assess and continuously govern providers, models, software and data components relied upon by the AI solution.

Why this applies / regulatory basis

SFC / SFC-AI-CYBER-TPRM-001

Mandate	SFC Third-Party AI-Enabled Cyber Risk
Classification	RISK-BASED-REQUIRED
Interpretation basis	DIRECT

Licensed corporations should strengthen third-party cyber governance and ongoing assessment for AI-enabled attacks on critical providers.

Classification basis The cited current supervisory circular uses risk-based or proportionate expectations. PEARL caps the mapping at RISK-BASED-REQUIRED and does not represent the circular as legislation.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of SFC:LICENSED_CORPORATION
- FACT_EQUALS: supportsRegulatedActivity = true (required true)
- FACT_EQUALS: usesExternalProvider = true (required true)
- Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks (SFC-AI-CYBER-26EC32) - Paragraph 13 - third-party supply-chain cyber risk

Third-party supply-chain governance and ongoing assessment should address AI-enabled threats to critical providers.

Locator ID	SFC-AI-CYBER-26EC32-LOC-13
Source assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	6c074da9d3405354d707b2405060afc85574e3d33dddb53ece190c35d271c360
Official source	https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32

SFC / SFC-GENAI-TPRM-001

Mandate	SFC AI Third-Party Provider Risk
Classification	RISK-BASED-REQUIRED
Interpretation basis	DIRECT

Use of an external AI provider requires due diligence, ongoing monitoring, clear responsibility allocation, supply-chain visibility and contingency planning.

Classification basis The SFC circular states direct supervisory requirements and expectations, but the admitted source set for this rule does not separately include the underlying Code or Information Rules as binding source records. PEARL therefore caps this mapping at RISK-BASED-REQUIRED.

- PERMISSION_ANY: observed SFC:LICENSED_ACTIVITY:TYPE_4, SFC:LICENSED_CORPORATION; required any of

SFC:LICENSED_CORPORATION

- FACT_EQUALS: modelType = GENERATIVE_AI (required GENERATIVE_AI)
 - FACT_EQUALS: supportsRegulatedActivity = true (required true)
 - FACT_EQUALS: usesExternalProvider = true (required true)
 - Circular to Licensed Corporations: Use of Generative AI Language Models (SFC-GENAI-24EC55) - Paragraphs 26-29
- External providers require due diligence, responsibility allocation, supply-chain assessment and resilience planning.

Locator ID

SFC-GENAI-24EC55-LOC-2C4055D3FE

Source assurance

INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256

390547919db9b85b7e0da0cbe7bb65e5931449784b94ce1a230fcb61c8a25dfc

Official source

<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55>

PEARL control implementation

- 1. Assess provider competence, controls, data practices, service resilience, subcontractors and legal terms before use.
- 2. Define shared security, privacy, model-risk and incident responsibilities contractually or operationally.
- 3. Maintain a component inventory and monitor material provider, model, service and supply-chain changes.

Expected evidence

Provider assessment; contract and responsibility matrix; component inventory; ongoing monitoring records; exit and transition plan.

Not Applicable Controls

These controls were not triggered by active production rules for the exact assessment and assessment date. Quarantined or excluded modules are not represented here because production preflight blocks those assessments before compilation.

CUST-001 - Prominent AI Interaction Disclosure

CLIENT_PROTECTION

HKMA / HKMA-AI-FAIRNESS-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

HKMA / HKMA-BDAI-CONSUMER-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

HKMA / HKMA-GENAI-TRANSPARENCY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

PCPD / PCPD-AGENTIC-COMMS-001

- CAPABILITY_ANY expected ["AGENTIC_TOOL_EXECUTION"] but observed ["GENERATIVE_AI"].
- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:customerFacing expected true but observed false.

PCPD / PCPD-AI-COMMS-001

- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:customerFacing expected true but observed false.

SFC / SFC-GENAI-DISCLOSURE-001

- FACT_EQUALS:customerFacing expected true but observed false.

CUST-002 - Feedback and Human Intervention Channel

CLIENT_PROTECTION

PCPD / PCPD-AGENTIC-COMMS-001

- CAPABILITY_ANY expected ["AGENTIC_TOOL_EXECUTION"] but observed ["GENERATIVE_AI"].
- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:customerFacing expected true but observed false.

PCPD / PCPD-AI-COMMS-001

- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:customerFacing expected true but observed false.

CUST-003 - Meaningful Explanation for Significant AI Outcomes

CLIENT_PROTECTION

HKMA / HKMA-AI-EXPLAINABILITY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.
- FACT_EQUALS:hasMaterialIndividualImpact expected true but observed false.

HKMA / HKMA-ALT-DATA-QUALITY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].
- USE_CASE_ANY expected ["CREDIT_SCORING","CUSTOMER_PROFILING","DYNAMIC_PRICING"] but observed ["INVESTMENT_RESEARCH"].

- FACT_EQUALS:hasMaterialIndividualImpact expected true but observed false.

PCPD / PCPD-AI-COMMS-001

- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:customerFacing expected true but observed false.

CUST-004 - Opt-Out and Alternative-Channel Assessment

CLIENT_PROTECTION

HKMA / HKMA-GENAI-FAIRNESS-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

PCPD / PCPD-AI-COMMS-001

- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:customerFacing expected true but observed false.

CUST-005 - Client Profiling and Suitability Matching

CLIENT_PROTECTION

SFC / SFC-ROBO-PROFILING-001

- USE_CASE_ANY expected ["ROBO_ADVICE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.

SFC / SFC-ROBO-SUITABILITY-001

- USE_CASE_ANY expected ["INVESTMENT_ADVICE","ROBO_ADVICE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.

CUST-006 - Digital Advice Service, Methodology and Conflict Disclosure

CLIENT_PROTECTION

SFC / SFC-ONLINE-PLATFORM-DISCLOSURE-001

- USE_CASE_ANY expected ["ONLINE_INVESTMENT_DISTRIBUTION","INVESTMENT_ADVICE","ROBO_ADVICE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.

CUST-007 - Automated Portfolio Rebalancing Governance

CLIENT_PROTECTION

SFC / SFC-ROBO-REBALANCING-001

- USE_CASE_ANY expected ["ROBO_ADVICE"] but observed ["INVESTMENT_RESEARCH"].
- USE_CASE_ANY expected ["AUTOMATED_PORTFOLIO_REBALANCING"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.

DATA-001 - Personal Data Purpose, Lawful Use and Minimisation

DATA_PRIVACY

HKMA / HKMA-AI-PRIVACY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:processesPersonalData expected true but observed false.

HKMA / HKMA-ALT-DATA-TRANSPARENCY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.
- FACT_EQUALS:processesPersonalData expected true but observed false.

HKMA / HKMA-BDAI-CONSUMER-PRIVACY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.
- FACT_EQUALS:processesPersonalData expected true but observed false.

HKMA / HKMA-GENAI-PRIVACY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.
- FACT_EQUALS:processesPersonalData expected true but observed false.

PCPD / PCPD-AI-DATA-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

PCPD / PDPO-DPP1-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-003 - AI Data Quality and Bias Management**DATA_PRIVACY****HKMA / HKMA-AI-FAIRNESS-001**

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

HKMA / HKMA-AI-MODEL-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].

HKMA / HKMA-ALT-DATA-QUALITY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].
- USE_CASE_ANY expected ["CREDIT_SCORING","CUSTOMER_PROFILING","DYNAMIC_PRICING"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:hasMaterialIndividualImpact expected true but observed false.

HKMA / HKMA-BDAI-CONSUMER-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

HKMA / HKMA-GENAI-FAIRNESS-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- FACT_EQUALS:customerFacing expected true but observed false.

IA / IA-GL21-MONITORING-REPORTING-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- ATTRIBUTE_EQUALS:IA.isMaterialERMEExposure expected true but observed null.

PCPD / PCPD-AI-DATA-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

SFC / SFC-GENAI-PII-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

SFC / SFC-ROBO-ALGORITHM-001

- USE_CASE_ANY expected ["ROBO_ADVICE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.

SFC / SFC-ROBO-PROFILING-001

- USE_CASE_ANY expected ["ROBO_ADVICE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.

DATA-004 - Cross-Border Personal Data Transfer Safeguards

DATA_PRIVACY

PCPD / PCPD-XBORDER-001

- FACT_EQUALS:processesPersonalData expected true but observed false.
- FACT_EQUALS:isCrossBorder expected true but observed false.

DATA-005 - Agentic AI Retention and Erasure Controls

DATA_PRIVACY

PCPD / PCPD-AGENTIC-CORE-001

- CAPABILITY_ANY expected ["AGENTIC_TOOL_EXECUTION"] but observed ["GENERATIVE_AI"].
- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-006 - Personal Data Accuracy and Retention

DATA_PRIVACY

PCPD / PDPO-DPP2-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-007 - Personal Data Use Limitation and Change-of-Purpose Consent

DATA_PRIVACY

PCPD / PDPO-DPP3-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-008 - Personal Data Security Safeguards

DATA_PRIVACY

HKMA / HKMA-ALT-DATA-PRIVACY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:processesPersonalData expected true but observed false.

IA / IA-GL14-CONFIDENTIALITY-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.isOutsourcingArrangement expected true but observed null.

IA / IA-GL20-PERSONAL-DATA-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- FACT_EQUALS:processesPersonalData expected true but observed false.

PCPD / PDPO-DPP4-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-009 - Personal Data Transparency and Privacy Notice

DATA_PRIVACY

HKMA / HKMA-ALT-DATA-TRANSPARENCY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].
- FACT_EQUALS:customerFacing expected true but observed false.
- FACT_EQUALS:processesPersonalData expected true but observed false.

PCPD / PDPO-DPP5-001

- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-010 - Data Access and Correction Rights**DATA_PRIVACY****PCPD / PDPO-DPP6-001**

- FACT_EQUALS:processesPersonalData expected true but observed false.

DATA-011 - Alternative Data Source Governance and Permissible Use**DATA_PRIVACY****HKMA / HKMA-ALT-DATA-SOURCE-001**

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].

HKMA / HKMA-ALT-DATA-THIRD-PARTY-001

- PERMISSION_ANY expected ["HKMA:AUTHORIZED_INSTITUTION"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- USE_CASE_ANY expected ["ALTERNATIVE_DATA_USE"] but observed ["INVESTMENT_RESEARCH"].

GOV-006 - Electronic Trading Governance and Supervision**GOVERNANCE****SFC / SFC-ET-GOV-001**

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

GOV-007 - Algorithmic Trading Competence and Operating Documentation**GOVERNANCE****SFC / SFC-ALGO-COMPETENCE-001**

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

GOV-009 - AI Risk Integration into Enterprise Risk Appetite and ERM**GOVERNANCE****IA / IA-GL21-MATERIAL-RISK-001**

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- ATTRIBUTE_EQUALS:IA.isMaterialERMExposure expected true but observed null.

IA / IA-GL21-ORSA-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- ATTRIBUTE_EQUALS:IA.isMaterialERMExposure expected true but observed null.

IA / IA-GL21-RISK-APPETITE-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- ATTRIBUTE_EQUALS:IA.isMaterialERMExposure expected true but observed null.

IA / IA-GL21-STRESS-SCENARIO-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.

- ATTRIBUTE_EQUALS:IA.isMaterialERMExposure expected true but observed null.

MOD-005 - Pre-Deployment and Annual Algorithmic Trading Testing

MODEL_RISK

SFC / SFC-ALGO-TESTING-001

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

MOD-006 - Algorithmic Order Risk and Market Integrity Controls

MODEL_RISK

SFC / SFC-ALGO-RISK-001

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

MOD-007 - Post-Trade Market Conduct Monitoring and Intervention

MODEL_RISK

SFC / SFC-ALGO-MONITORING-001

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

TECH-006 - Agentic AI Access Ringfencing and Least Privilege

SECURITY

PCPD / PCPD-AGENTIC-CORE-001

- CAPABILITY_ANY expected ["AGENTIC_TOOL_EXECUTION"] but observed ["GENERATIVE_AI"].
- FACT_EQUALS:processesPersonalData expected true but observed false.

TECH-007 - Electronic Trading System Integrity and Emergency Order Controls

OPERATIONAL_RESILIENCE

SFC / SFC-ET-INTEGRITY-001

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

TECH-008 - Algorithmic Trading Design, Parameter and Test Records

SECURITY

SFC / SFC-ALGO-RECORDS-001

- USE_CASE_ANY expected ["ALGORITHMIC_TRADING"] but observed ["INVESTMENT_RESEARCH"].

TECH-014 - Cyber Resilience Assessment and Remediation Governance

SECURITY

IA / IA-GL20-CRAF-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- ATTRIBUTE_ANY:IA.craftInherentRiskRating expected ["LOW","MEDIUM","HIGH"] but observed null.

TECH-015 - Threat Intelligence Based Attack Simulation

SECURITY

IA / IA-GL20-TIBAS-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.insurerScopeClass expected "STANDARD" but observed null.
- ATTRIBUTE_ANY:IA.craftInherentRiskRating expected ["MEDIUM","HIGH"] but observed null.

TECH-016 - Outsourcing Agreement, Audit Rights and Subcontracting Controls

THIRD_PARTY_RISK

IA / IA-GL14-AGREEMENT-001

- PERMISSION_ANY expected ["IA:AUTHORIZED_INSURER"] but observed ["SFC:LICENSED_ACTIVITY:TYPE_4","SFC:LICENSED_CORPORATION"].
- ATTRIBUTE_EQUALS:IA.isOutsourcingArrangement expected true but observed null.

Regulatory Source Index

This index is derived only from citations carried in applicable controls in the canonical baseline.

SFC - Enhanced Cybersecurity Measures for AI-Enabled Cyberattacks

Source ID	SFC-AI-CYBER-26EC32
Normative character	SUPERVISORY_EXPECTATION
Legal status	EFFECTIVE
Official source	https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32
- Paragraphs 10-11 - least privilege, segmentation, adversarial input and maker-checker controls [SFC-AI-CYBER-26EC32-LOC-10-11]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	59fc0707b7ed77e20d53d7e76e4459ac9026af013a8d25c60653d6a3f2f5aaee
- Paragraph 12 - threat detection, anomaly monitoring and intelligence [SFC-AI-CYBER-26EC32-LOC-12]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	3cd1ba6640b3e3f4ec20184d73b84a809c394508a1b7b90e4c96ac7ab6de5a6a
- Paragraph 13 - third-party supply-chain cyber risk [SFC-AI-CYBER-26EC32-LOC-13]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	6c074da9d3405354d707b2405060afc85574e3d33ddd53ece190c35d271c360
- Paragraphs 14-18 - incident response, containment, testing, backup and notification [SFC-AI-CYBER-26EC32-LOC-14-18]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	eda8c13714c6bf71b1e8578c03e8d6d77441814e519a9dc9bdc795590bcf09b4
- Paragraph 3 - preparedness and senior-management accountability [SFC-AI-CYBER-26EC32-LOC-3]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	a566ee641a11950b0c0e81825d5d12c98a4d62b1b7d98cea012c92e068fcdeba
- Paragraphs 5-7 - robust controls, asset inventory and framework review [SFC-AI-CYBER-26EC32-LOC-5-7]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	dcc3e0ad0cff24f7f827ec23680a70158906a0174c0aba4ff43dde2935005000
- Paragraph 9 - accelerated patch and vulnerability management [SFC-AI-CYBER-26EC32-LOC-9]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	9246c4fe543cecc9ec9b97492ca69586a2348427700706c448c2d997ac97aad9

SFC - Circular to Licensed Corporations: Use of Generative AI Language Models

Source ID	SFC-GENAI-24EC55
Normative character	SUPERVISORY_EXPECTATION
Legal status	EFFECTIVE
Official source	https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=24EC55
- Paragraph 30 [SFC-GENAI-24EC55-LOC-0270FF4711]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	84d3915e7188da1adf0ba8d0a5e808e499bfe03eb2ebf5374b449c8db9533e4d
- Paragraphs 22-25 [SFC-GENAI-24EC55-LOC-1651554308]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	98aede6a18b26ec034952f5a8659f5bd4cc99168a12ea91432b00b54323a00d9
- Paragraph 16 [SFC-GENAI-24EC55-LOC-1C22F68A4A]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	d75e24a93f8db88c354bd5aa424363673fa4966f069f269e8ad8ee6a68cea43a
- Paragraphs 26-29 [SFC-GENAI-24EC55-LOC-2C4055D3FE]	
Assurance	INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST
Passage SHA-256	390547919db9b85b7e0da0cbe7bb65e5931449784b94ce1a230fcb61c8a25dfc

- Paragraphs 9-12 [SFC-GENAI-24EC55-LOC-9F2174F4FD]

Assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 e5db8182440c5d37e7a0d6a3f1576b7c6444f382a9bcc2945e04e5a9793d5dd

- Paragraph 13 [SFC-GENAI-24EC55-LOC-BD788CE64B]

Assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 ab07f9625eeb2c71a9f4e35ecdcbcd450ef15668f1da6c4645c57d36a6133cf

- Paragraphs 6-8 [SFC-GENAI-24EC55-LOC-C5D9FFB2DE]

Assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 bc56628d3fa64b30811b696ae34bc747db284aa70e513e3a632047df108ed282

- Paragraphs 20-21 [SFC-GENAI-24EC55-LOC-E11AAB7125]

Assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 41be2edc12c8d7edf61c8909466e31bfc7c188610f51133e581c0b6a5d15f71d

- Paragraphs 18-19 [SFC-GENAI-24EC55-LOC-FF5A947210]

Assurance INDEPENDENTLY_REPRODUCED_OFFICIAL_PASSAGE_DIGEST

Passage SHA-256 51e7b2aa90b67969e28d10347e25d68f2c54453d857f813dda71c9adda368f3b

Integrity & Reproducibility

Baseline ID	BL-86313E588458F5EB9902
Baseline identity digest	86313e588458f5eb99026dbc45f6375554bb35f6fcbafec4fc79a890a4348de9
Pack ID	hong-kong-financial-ai
Pack version	2026.12.4
Pack schema	2026.9.0
Pack digest	9b1c82791be15efa4ffa6d48eda744a0f132f3d0945588227707379f184e3e0f
Assessment date	2026-09-09
Renderer	PEARL PDF Renderer 2026.12.4-pdf-v1

Deterministic rendering contract

- The renderer consumes the canonical baseline JSON as its sole regulatory input.
- The renderer does not load PACK.json and does not evaluate regulatory applicability.
- The renderer does not alter control classification, trigger rules, citations, or negative proof.
- The assessment date is used as deterministic PDF metadata; the system clock is not embedded in the PDF.

Notice

- This report is a deterministic regulatory mapping baseline generated from the canonical baseline JSON.
- PEARL-authored summaries are interpretation aids and are not represented as verbatim regulator text.
- This report does not constitute legal advice, a statutory legal opinion, external audit certification, or regulatory pre-approval.